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Bring cold calculations into the policy process

Toting up the costs and benefits

The public policy process involves a stylized set of questions:

1. What is the problem that we're out to solve? Are we sure that there is indeed a market failure?
2. What are the alternative interventions that could be used? What is the least intrusive intervention that gets the job done?
3. How would we implement the proposed intervention? What are the state capacity constraints that we would face? How would we build state capacity for our desired intervention? Are we certain that under our real-world implementation constraints, the proposed intervention will indeed address the malady under examination?
4. Do the benefits outweigh the costs?

Proponents of many policies are often quite convinced that they are correct. Cost–benefit analysis is the discipline of trying to tote up the numbers. The first element of costs is the direct costs borne by government. The second element of cost is the intrusion upon private persons that is caused by the policy proposal. Against this, we have the claimed benefits.

Activists and enthusiasts tend to be very convinced about themselves. Cost–benefit analysis checks the enthusiasm by demanding data. In God we trust, all others must bring data. *Did we choose the least intrusive*